

Tianqi Lithium (9696 HK/002466 CH)

Hold: HSBC Global Investment Summit 2026 key takeaways

- ◆ Limited impact from Middle East fuel disruption given low cost exposure and secured supply
- ◆ Near-term growth from CGP3 ramp-up and SQM; longer-term driven by Yajiang Cuola
- ◆ Maintain Hold and TP of HKD57.00/RMB59.00

We hosted Tianqi Lithium's Wenyu Zhang, Board Secretary at HSBC's Global Investment Summit 2026 held on 14-16 April. Key takeaways follow.

Middle East conflict has limited cost and supply impact: Management sees limited impact from potential fuel supply disruptions. Fuel accounts for <5% of total production costs, hence higher energy prices have minimal cost impact. In Australia, Tianqi has long-term fuel supply agreements with contracted volumes exceeding actual usage, providing a buffer. The company is also a priority customer of BP, ensuring stable diesel supply. Meanwhile, concentrator operations rely on grid electricity, which remains stable.

Greenbushes drive output growth: CGP3 was completed at end-2025 and is expected to ramp up through 2026 to its design capacity of 520ktpa, contributing >200kt in 2H26 and >400kt in 2027. Ongoing recovery rate improvements and technical upgrades should further enhance utilisation. At SQM, 2026 production guidance is 260kt (vs. 233kt in 2025), indicating solid growth. Over the medium term, growth should be supported by domestic resources, notably Yajiang Cuola and Shaotangou, although Yajiang Cuola is unlikely to contribute meaningfully in 2026-27.

Disciplined approach on M&A, focus on organic growth: Tianqi remains focused on upstream resources and midstream expansion, but prioritises organic growth given geopolitical risks and limited availability of attractive targets. Asset injections from its major shareholder remain a potential option. With gearing at c20% and a strong cash position, the company retains flexibility for opportunistic M&A.

Demand and sales: Downstream customers maintain solid production schedules, with incremental demand expected in 2H26. Long-term contracts account for c80% of sales, typically priced against third-party benchmarks. The remaining c20% is sold on the spot market, allowing Tianqi to benefit from tighter lithium carbonate supply conditions.

Maintain Hold: We expect earnings to improve in 2026, supported by higher lithium prices and volume growth from CGP3 ramp-up and refining expansion. However, we believe much of the recovery is already priced in, while execution risks and earnings volatility, particularly linked to lithium prices and SQM remain. We therefore maintain our Hold rating on both A/H shares, with unchanged TPs of HKD57.00/RMB59.00 (implying 0.6% upside and 9.7% downside, respectively). For full valuation and risks, see page 3.

Equities Metals & Mining


H: MAINTAIN HOLD

TARGET PRICE (HKD)

57.00

PREVIOUS TARGET (HKD)

57.00

SHARE PRICE (HKD)

56.65
(as of 16 Apr 2026)

UPSIDE/DOWNSIDE

+0.6%

A: MAINTAIN HOLD

TARGET PRICE (CNY)

59.00

PREVIOUS TARGET (CNY)

59.00

SHARE PRICE (CNY)

65.32
(as of 16 Apr 2026)

UPSIDE/DOWNSIDE

-9.7%

MARKET DATA

BBG / RIC	9696 HK / 9696.HK
Market cap (HKDm / USDm)	123,656 / 15,803
Free float (H / A)	64% / 65%
3m ADTV (USDm) (H / A)	35 / 396

FINANCIALS AND RATIOS (CNY)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	0.28	2.69	2.69	2.49
HSBC EPS (prev)	0.28	2.69	2.69	2.49
Change (%)	0.0	0.0	0.0	0.0
Consensus EPS	0.47	2.24	3.30	4.06

Source: LSEG IBES, HSBC estimates

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Financials & valuation

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (CNYm)				
Revenue	10,322	24,067	21,989	20,450
EBITDA	4,752	13,947	12,424	11,280
Depreciation & amortisation	-1,422	-1,404	-1,462	-1,517
Operating profit/EBIT	3,329	12,543	10,962	9,763
Net interest	-622	-642	-642	-642
PBT	3,965	14,374	12,910	11,810
HSBC PBT	3,965	14,374	12,910	11,810
Taxation	-967	-3,505	-3,148	-2,879
Net profit	458	4,407	4,402	4,088
HSBC net profit	458	4,407	4,402	4,088
Cash flow summary (CNYm)				
Cash flow from operations	2,961	7,624	12,652	11,669
Capex	-2,848	-2,500	-2,500	-2,500
Cash flow from investment	-4,463	3,198	2,227	1,771
Dividends	0	0	0	0
Change in net debt	1,833	-9,999	-14,056	-12,629
FCF equity	113	5,124	10,152	9,169
Balance sheet summary (CNYm)				
Intangible fixed assets	562	562	562	562
Tangible fixed assets	26,539	27,635	28,674	29,657
Current assets	10,529	26,902	40,066	52,046
Cash & others	4,362	14,360	28,416	41,045
Total assets	72,968	90,618	105,001	118,132
Operating liabilities	3,347	4,429	4,323	4,253
Gross debt	14,205	14,205	14,205	14,205
Net debt	9,843	-156	-14,211	-26,840
Shareholders' funds	43,220	54,089	63,852	72,783
Invested capital	29,922	36,310	36,563	36,967

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	-20.8	133.1	-8.6	-7.0
EBITDA	-25.4	193.5	-10.9	-9.2
Operating profit	-36.4	276.8	-12.6	-10.9
PBT	844.3	262.5	-10.2	-8.5
HSBC EPS		861.4	-0.1	-7.1
Ratios (%)				
Revenue/IC (x)	0.4	0.7	0.6	0.6
ROIC	9.0	28.6	22.8	20.1
ROE	1.1	9.1	7.5	6.0
ROA	4.9	13.9	10.5	8.4
EBITDA margin	46.0	58.0	56.5	55.2
Operating profit margin	32.3	52.1	49.9	47.7
EBITDA/net interest (x)	7.6	21.7	19.3	17.6
Net debt/equity	18.7	-0.2	-17.0	-27.7
Net debt/EBITDA (x)	2.1	-0.0	-1.1	-2.4
CF from operations/net debt	30.1			
Per share data (CNY)				
EPS reported (diluted)	0.28	2.69	2.69	2.49
HSBC EPS (diluted)	0.28	2.69	2.69	2.49
DPS	0.00	0.00	0.00	0.00
Book value	26.36	32.99	38.95	44.39

Valuation data: 9696 HK

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	8.5	3.2	2.9	2.5
EV/EBITDA	18.5	5.6	5.1	4.5
EV/IC	2.9	2.1	1.7	1.4
PE*	176.6	18.4	18.4	19.8
PB	1.9	1.5	1.3	1.1
FCF yield (%)	0.1	4.8	9.4	8.5
Dividend yield (%)	0.0	0.0	0.0	0.0

* Based on HSBC EPS (diluted)

Valuation data: 002466 CH

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	8.5	3.2	2.9	2.5
EV/EBITDA	18.5	5.6	5.1	4.5
EV/IC	2.9	2.1	1.7	1.4
PE*	233.6	24.3	24.3	26.2
PB	2.5	2.0	1.7	1.5
FCF yield (%)	0.1	4.8	9.4	8.5
Dividend yield (%)	0.0	0.0	0.0	0.0

* Based on HSBC EPS (diluted)

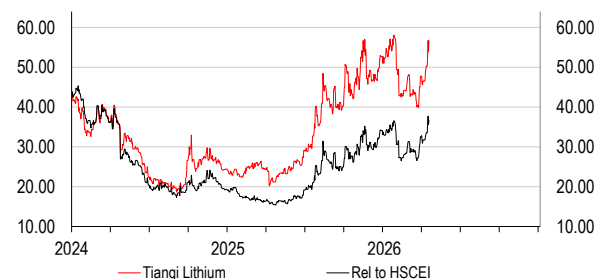
ESG metrics

Environmental Indicators	12/2024a	Governance Indicators	12/2025a
GHG emission intensity*	208.3	No. of board members	8
Energy intensity*	560.4	Average board tenure (years)	8.6
CO ₂ reduction policy	Yes	Female board members (%)	50
Social Indicators		Board members independence (%)	50
12/2024a			
Employee costs as % of revenues	9.6		
Employee turnover (%)	10.8		
Diversity policy	Yes		

Source: Company data, HSBC

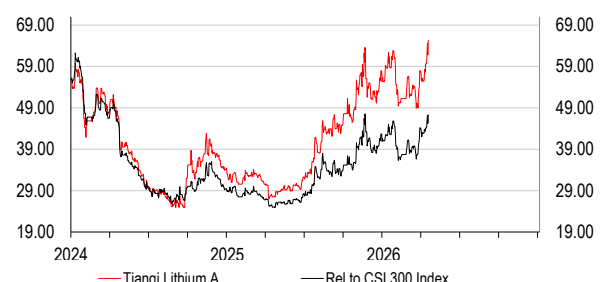
* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Price relative: 9696 HK



Source: HSBC

Price relative: 002466 CH



Source: HSBC

Note: Priced at close of 16 Apr 2026

Valuation and risks

	Valuation	Risks
Tianqi Lithium - H/A Hold/Hold	Current price: HKD56.65/ RMB65.32 Target price: HKD57.00/ RMB59.00 Up/downside: +0.6%/ -9.7% We maintain our Hold ratings on Tianqi-H/A as we believe both H and A-shares are now fairly valued with a more balanced risk-reward profile at current levels. Our TPs remained unchanged at HKD57.00 and RMB59.00. For Tianqi- H, we derive our target price by applying a forward PB multiple of 1.50x (unchanged), which is 1 SD above the stock's historical average since its listing in 2022. We apply the multiple to our 2026e BVPS of RMB32.99 (unchanged), using our RMB-HKD rate of 1.16 (unchanged). Our H-share target price implies 0.6% upside from the current share price and we maintain our Hold rating given the possibility of supply returning from Zimbabwe and potential demand destruction linked to the ongoing conflict. As for Tianqi A-shares, our target price is derived by applying a target forward PB of 1.80x (unchanged) to our 2026e BVPS of RMB32.99 (unchanged). Our target PB of 1.80x is 0.5SD below the historical average, and c20% higher than our target PB for H-share, which is consistent with Ganfeng-H/A's target PB ratio. Our A-share target price implies 9.7% downside; we have a Hold rating, reflecting the recent developments which are supportive for lithium prices. Howard Lau howard.h.b.lau@hsbc.com.hk +852 2996 6625	Key upside risks: 1) New supply disruption in Yichun, Jiangxi province; 2) lithium price upside risk amid new development of the "anti-involution" campaign; 3) stronger-than-expected demand growth from EV and ESS; 4) positive news of US Department of Energy taking stakes in lithium projects. Key downside risks: 1) Trade tensions between China and Australia could impact self-produced spodumene imports; 2) delays in lithium compound capacity expansion; 3) lower-than-expected demand growth from EV and ESS; and 4) potential impairment loss from investment on SQM.

Priced at close 16 April 2026
 Source: HSBC estimates

Disclosure appendix

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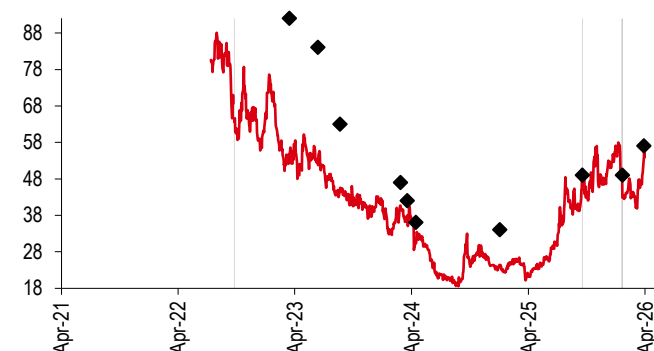
Buy	59%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	36%	(12% of these provided with Investment Banking Services in the past 12 months)
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For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

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Share price and rating changes for long-term investment opportunities

Tianqi Lithium (9696.HK) share price performance HKD Vs HSBC rating history



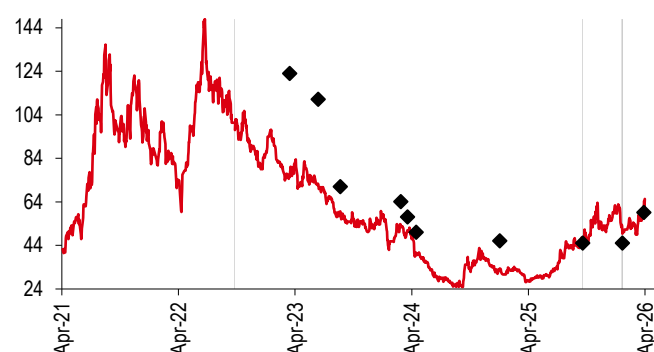
Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	09 Oct 2022	Howard Lau, CFA
Buy	Hold	03 Oct 2025	Howard Lau, CFA
Hold	Restricted	03 Feb 2026	
Restricted	Hold	05 Feb 2026	Howard Lau, CFA
Target price	Value	Date	Analyst
Price 1	92.00	31 Mar 2023	Howard Lau, CFA
Price 2	84.00	28 Jun 2023	Howard Lau, CFA
Price 3	63.00	05 Sep 2023	Howard Lau, CFA
Price 4	47.00	13 Mar 2024	Howard Lau, CFA
Price 5	42.00	03 Apr 2024	Howard Lau, CFA
Price 6	36.00	30 Apr 2024	Howard Lau, CFA
Price 7	34.00	17 Jan 2025	Howard Lau, CFA
Price 8	49.00	03 Oct 2025	Howard Lau, CFA
Price 9	Restricted	03 Feb 2026	
Price 10	49.00	05 Feb 2026	Howard Lau, CFA
Price 11	57.00	13 Apr 2026	Howard Lau, CFA

Source: HSBC

Tianqi Lithium A (002466.SZ) share price performance CNY Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	09 Oct 2022	Howard Lau, CFA
Buy	Hold	03 Oct 2025	Howard Lau, CFA
Hold	Restricted	03 Feb 2026	
Restricted	Hold	05 Feb 2026	Howard Lau, CFA
Target price	Value	Date	Analyst
Price 1	123.00	31 Mar 2023	Howard Lau, CFA
Price 2	111.00	28 Jun 2023	Howard Lau, CFA
Price 3	71.00	05 Sep 2023	Howard Lau, CFA
Price 4	64.00	13 Mar 2024	Howard Lau, CFA
Price 5	57.00	03 Apr 2024	Howard Lau, CFA
Price 6	50.00	30 Apr 2024	Howard Lau, CFA
Price 7	46.00	17 Jan 2025	Howard Lau, CFA
Price 8	45.00	03 Oct 2025	Howard Lau, CFA
Price 9	Restricted	03 Feb 2026	
Price 10	45.00	05 Feb 2026	Howard Lau, CFA
Price 11	59.00	13 Apr 2026	Howard Lau, CFA

Source: HSBC

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Company	Ticker	Recent price	Price date	Disclosure
TIANQI LITHIUM	9696.HK	56.65	16 Apr 2026	1, 5, 7
TIANQI LITHIUM A	002466.SZ	65.32	16 Apr 2026	1, 5, 7

Source: HSBC

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